The degree of confidence in a trade is relevant not only in determining the trade size, but also in deciding on the appropriate risk management approach. When Thorp did arbitrage trades where the maximum theoretical risk could be approximately estimated, he did not consider reducing exposure if the position went against him. In contrast, when Thorp employed a trend-following strategy, in which the trades were directional and the edge far more uncertain than the edge in the various arbitrage strategies he had previously used, he made exposure reduction on drawdowns part of the methodology.

A lesson that Thorp learned in gambling was: “Don’t bet more than you are comfortable with. Just take your time until you’re ready.” He drove his original blackjack backers crazy by starting out betting $1 on the bad hands and a maximum of $10 on the good hands—ridiculously small wagers given his edge and the objectives of his backers. Thorp’s perspective on risk and comfort level provides sound advice for traders as well. Emotions are deadly for trading, and the surest way to guarantee that emotions will impact trading decisions is by trading beyond one’s comfort level.

Many traders mistakenly believe that there is some single solution to defining market behavior. If only they could find that solution, trading would become like operating a money machine. Many traders are continually searching for this Holy Grail of trading methods. The reality is that there is no single solution to the markets, and any solutions that do exist are continually changing. Successful traders adapt to changing market conditions. Even when they find patterns or methods that provide a market edge, they will change their approach as dictated by the market. Finding success in the markets is a dynamic rather than static process.

Thorp’s approach to statistical arbitrage is a case study in adapting to markets. The initial concept was to balance long positions in stocks that had gone down the most with short positions in stocks that had gone up the most so that the portfolio net exposure was near zero. When the return/risk of this strategy started to deteriorate, Thorp switched to a variation of the strategy that added sector neutrality to market neutrality. Then when even sector neutral statistical arbitrage started to lose its edge, Thorp switched to a strategy variation that neutralized the portfolio to the various factors. By the time the third iteration was adapted, the original system version had